ARCOVIA CITY

OFFER SHEET

MEGAWORLD Lifestyle Malls

DATE: April 25, 2022

We are pleased to offer a space for lease at **ARCOVIA CITY**. Please find details below including floor layout plan attached. We will be glad to schedule a site inspection at your most convenient time. Please contact us at **irrobles@megaworld-lifestyle.com or 09178013034.**

RETAIL PARTNER INFORMATION			
Lessee* Name:		**Nature of Business:**	FOOD & BEVERAGE
Business/Trade Name:	**CAFÉ MARY GRACE**	**Authorized Representative:**	**MR. ADRIAN DIMACALI**
Franchisee	☐ Yes ☐ No	**Designation:**	Owner
Authorized Dealer	☐ Yes ☐ No	**Telephone / Fax No.**	
Address:		**Email Address:**	

AREA FOR LEASE			
Location Code:	Unit A1a - Phase 2, Arco Parade	If Relocation or Expansion/Downsizing, indicate the following:	
Floor Area in SQM:	**355.00 sqm (approx.)**	Existing Location Code	
(approx. area - subject to final/official confirmation by the Mall)		Existing Floor Area in SQM	(for Expansion/Downsizing only)
Lease Term	**December 1, 2022 - October 31, 2027**	**Turn-Over Date:**	**July 04, 2022** or when space becomes available
		Fit-out Period: (3)	**150 Days**

MONTHLY CHARGES (exclusive of VAT, which shall be for Lessee's Account)

RENTAL				**OTHER CHARGES** (based on the applicable/prevailing rates and may be adjusted any time during the lease term)		
	Amounts	**Period Covered**				
Basic Rent (1)	P 800.00	01 December, 2022 -	30 November, 2023	**Common Area Maintenance**	(2) P	160.00 /sqm/mo.
	P 800.00	01 December, 2023 -	30 November, 2024	**Aircon**	(4) Mall Partner to provide their own aircondition	
	P 800.00	01 December, 2024 -	30 November, 2025	**Pest Control**	P	7.00 /sqm/mo.
	P 840.00	01 December, 2025 -	30 November, 2026	**Chilled Water Charges**	To be determined	
	P 882.00	01 December, 2026 -	31 October, 2027	Utilities (electricity, water, LPG, etc.)	Based on actual charges	
Percentage (7)	5% of Gross Sales, whichever is higher					
Minimum Rent	P 1,000.00	01 December, 2022 -	30 November, 2023			
per sqm. per mo.	P 1,000.00	01 December, 2023 -	30 November, 2024			
	P 1,000.00	01 December, 2024 -	30 November, 2025	**Marketing Fee**	(5) To be determined	
	P 1,050.00	01 December, 2025 -	30 November, 2026			
	P 1,102.50	01 December, 2026 -	31 October, 2027			

DEPOSITS (to be paid prior to start of construction in the leased area)			
Security Deposit (6)	P 2,130,000.00	**Construction / Performance Bond** (6)	P 355,000.00
Advance Rent (6)	P 397,600.00		

AUTO DEBIT ARRANGEMENT: (10)	**EXISTING ACCOUNT HOLDER:**
☐ Banco De Oro ☐ Rizal Commercial Banking Corporation ☐ Unionbank ☐ Others _____	☒ YES ☐ NO

(*) **For corporations or partnerships, Lessee's name should be as indicated in SEC-registered Certificate of Incorporation and Articles of Incorporation. For sole proprietor, lessee is the individual owner per DTI Registration/Business Permit.**

(1) **Computation of Rental Charges:** Basic Rent (if any) + % rent on Regular Sales and other income or Minimum Rent whichever is higher. The rentals, and the increases thereto, shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by LESSEE with any of the preferred bank partners of Lessor. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by Lessor .

(2) **Common Utilities and Service Maintenance (CUSA):** For operational/existing Malls, CUSA charges commence on first day of turnover. For new Malls and Foodcourt, CUSA charges commence upon start of Lease Term

(3) **Fit Out Conditions:** Lessee shall be entitled to a rent-free-fit-out-period of **150 DAYS** commencing on Turn-Over Date. Lessee shall not be allowed to commence any fit-out until Lessor has approved all plans of Lessee, and Lessee has paid all amounts and bonds required and submitted all requirements. Lessee's fit-out shall be subject to the applicable house rules and construction guidelines. There shall be no extension of the fit-out period unless approved in writing by Lessor.

(4) Where required by Lessor, Lessee shall provide its own Air Conditioning System for the leased premises.

(5) **Marketing Provisions:** Lessee shall participate and be included in all marketing and advertising programs and promotions (such as special sales, promo cards, discounts, etc.) of Lessor and its subsidiaries, affiliates or related companies, and shall comply with the terms and conditions of all such marketing and advertising efforts. Lessee shall also pay an annual marketing due based on the size and type of establishment. All Marketing Dues payable shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by LESSEE with any of the preferred bank partners of LESSOR. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by Lessor.

(6) **The Security Deposit**, equivalent to six (6) months minimum/fixed rent, and **Advance Rent**, equivalent to one (1) month minimum/fixed rental (Inclusive of VAT) to be applied to the first month's rent, are both payable to Lessor. The initial Security Deposit and the Advance Rent, shall be paid in cash, through check, or any other mode of payment as may be determined by Lessor. All increases to the Security Deposit, as may be applicable, shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by Lessee with any of the preferred bank partners of Lessor. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by Lessor. The ADA, however, is not a mode of payment for the initial Security Deposit. **Construction Bond**, a cash bond equivalent to one (1) month minimum/fixed rent, payable to Mall/Building/Property Administration Company, prior to the start of construction and fit-out. The Construction Bond will cover and answer for any violations, damage to property or deviation from plans. This bond shall be refunded once Lessor determines that Lessee has not committed any violation or deficiency in its construction and fit-out and only upon the issuance to Lessee of a Final Clearance to Operate. All subsequent monthly rentals and utility charges are required to be paid on or before the date indicated in the Statement of Account (SOA). Penalty for late payment of rental, deposit and other charges is 2% interest and 3% or the highest prevailing interest rate set by law, whichever is higher, per month on any arrears until fully paid. The Security Deposit shall be adjusted for any increase in the Minimum/Fixed rental rate. The Security Deposit and Advance Rent shall be automatically forfeited in favor of Lessor should Lessee commit any of the following: (a) failure to submit complete construction plans fourteen (14) days after Turn-Over Date; (b) failure to commence construction within seven (7) days after approval of Lessee's plans; (c) failure to commence operations on **DECEMBER 1, 2022**; or (d) unless otherwise forfeited by LESSOR for any other reason. In addition, all payments made by Lessee under this Offer Sheet, including but not limited to, the Security Deposit and Advance Rent, shall be forfeited in favor of Lessor if Lessee withdraws or backs-out from the lease, or withdraws or cancels this Offer Sheet for any reason any time after payments have been made and after submission of this signed Offer Sheet.

(7) **For Lessees subject to Percentage Rent:** Lessee is required to use or install in the premises such equipment which is compatible with Lessor's system and which will allow Lessee to make daily sales reports to Lessor via electronic recording and/or processing. All Percentage Rent payable shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by Lessee with any of the preferred bank partners of the Lessor. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by Lessor.

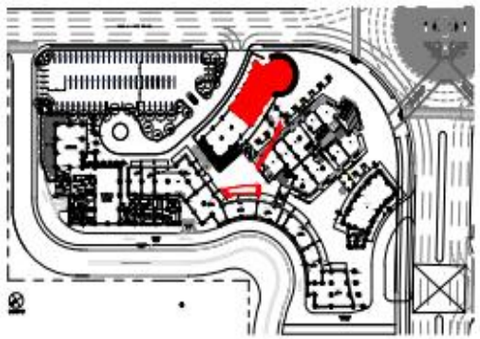
(8) Lessor shall have the unilateral right to cancel this Offer Sheet and the lease contract, and offer the leased premises to other interested parties should Lessee fail to complete construction and start commercial operations within one (1) month from the start of the lease period

(9) This Offer Sheet is subject to the submission of the following documents prior to the execution of the Lease Contract and commencement of operations: (a) SEC Registration with Articles and By-Laws (If Corporation & Partnership) or DTI Registration (If Proprietor), (b) Secretary's Certificate (If Corporation) or Partner's Resolution (If Partnership) for Authorized Contract Signatory, (c) BIR Certificate of Registration (BIR Form 2303), (d) One (1) government-issued ID with picture and signature of Contract Signatory (e.g. SSS ID, Passport, Driver's License. PRC ID, Senior Citizen's ID, TIN ID), (e) in the case of Franchisees: Franchise Agreement, and Franchisor's documents enumerated in (a), (b), (c) and (d) of this paragraph, (f) in the case of Authorized Dealers: the Dealership Agreement and Endorsement Letter from the Principal, (g) Lessee's Information Sheet, (h) General Information Sheet, (i) BIR Form 1921 (Authority to Print), (j) Permit to Use Sales Machine (if applicable) and (k) Deed of Assignment (if applicable).

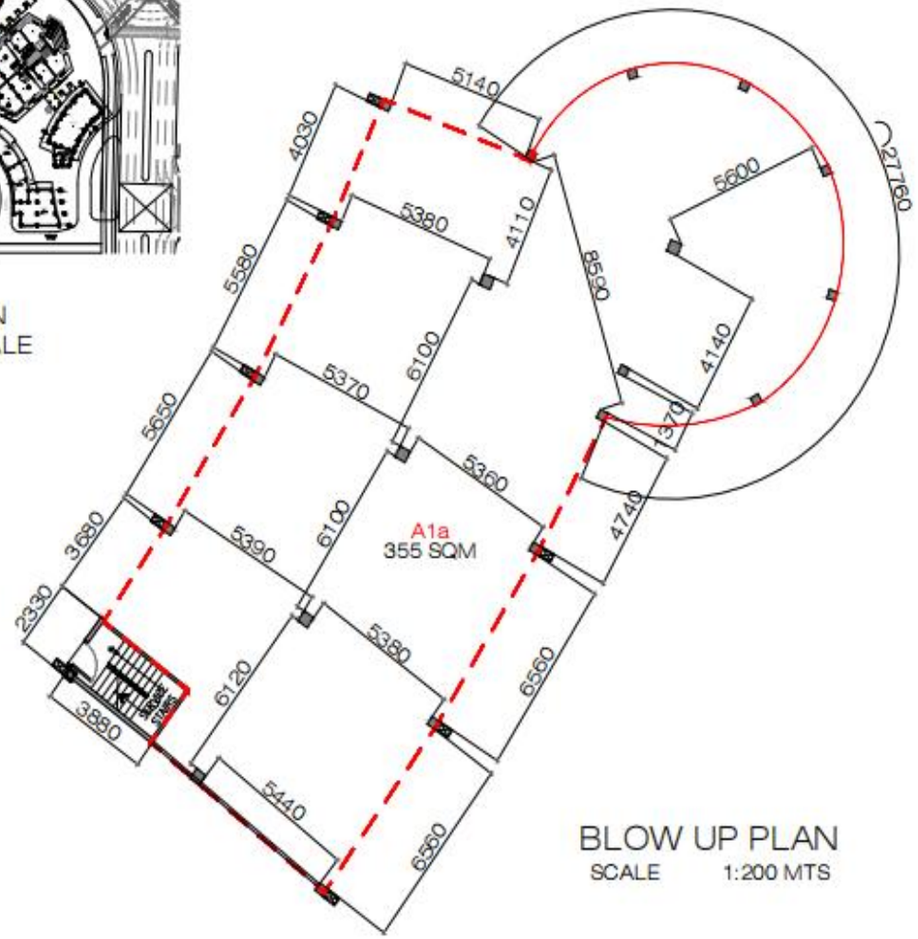
(10 Lessee hereby agrees to the use, processing and sharing by Lessor, its employees, representatives, related companies and third-party service providers of Lessee's information herein in relation to Lessee's ADA application with its chosen bank/s above and to Lessee's notices for its outstanding payables. Lessee further warrants that it has read and understood Lessor's Privacy Policy in http://www.megaworldcorp.com/privacy-policy.

(11 This Offer Sheet is simultaneously presented to other prospective Tenants and is subject to our Management Committee's final approval after we have received your conforme below. We shall provide to you the Formal Lease Contract after Management's final approval of the Terms hereof. By signing this Offer Sheet and submitting the same to Lessor, Lessee agrees to be bound by the conditions of cancellation set forth in the Formal Lease Contract. If you find our proposed terms and conditions acceptable, please sign your conformity in the space provided below and return three (3) copies of originally signed form to us **not later than seven (7) calendar days from the date of this offer**.

Prepared by: **INNA R. ROBLES** Leasing Officer Megaworld Commercial Division	**Conforme:** 26 Apr. 2022 **MR. ADRIAN DIMACALI** Owner
Approved by: **KRISHIELD SISON-QUIOGUE** General Manager Megaworld Commercial Division	



KEY PLAN
NOT TO SCALE



BLOW UP PLAN
SCALE 1:200 MTS

MINIMUM CEILING HEIGHT (MM) INSIDE RP SPACE	
B2	
B1	
LG	
UG/G	6000
ME	
2F	
3F	
4F	
5F	

LEGEND

- ENTRY POINT
- LEASE LINE
- DEMISING CAP
- GLASS FIN

DISCLAIMER

THE MEASUREMENTS / DIMENSIONS REFLECTED HEREIN ARE BASED ON ESTIMATED AREA EA) AS BORNE OUT BY EXISTING PLANS AND ARE NOT ON ACTUAL SPECIFICATION AS CONSTRUCTED. FURTHER ON-SITE VERIFICATION SHOULD BE CONDUCTED TO RECTIFY ANY DISCREPANCY.

TYPE:

FOOD

OPTION:

OP-1

MEGAWORLD Lifestyle Malls

UNIT NO.	AS SHOWN	DATE	201022			
LOCATION	ARCO-PARADE, PHASE 2	PREPARED BY	WDY	CHECKED BY	JFG	
AREA	AS SHOWN	APPROVED BY	DPM	APPROVED BY	RCA	

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